11. Income Taxes

Total income taxes (benefit) before cumulative effect of change in accounting principle for the years ended December 31, 2001, 2000 and 1999 consists of:

2001	Current	Deferred	Total
		(in thousands)	
Federal	$ 9,022	$ 1,921	$ 10,943
State	1,461	(161)	1,300
	$ 10,483	$ 1,760	$ 12,243

2000	Current	Deferred	Total
		(in thousands)	
Federal	$ 3,454	$ 8,332	$ 11,786
State	1,148	370	1,518
	$ 4,602	$ 8,702	$ 13,304

1999	Current	Deferred	Total
		(in thousands)	
Federal	$ 929	$ (1,710)	$ (781)
State	721	(331)	390
	$ 1,650	$ (2,041)	$ (391)

Actual income taxes (benefit) for 2001, 2000 and 1999 differs from the statutory tax rate of 35% as applied to income before income taxes (benefit) and cumulative effect of change in accounting principle as follows:

	2001	2000	1999
		(in thousands)	
Expected income tax expense	$ 10,245	$ 12,515	$ 6,636
State income taxes, net of federal tax benefit	761	892	428
Non deductible items	127	106	1,586
Current use of NOL	—	—	(1,896)
Change in valuation allowance	1,120	—	(7,145)
Other	(10)	(209)	—
Actual income tax expense (benefit)	$ 12,243	$ 13,304	$ (391)

The tax effects of temporary differences that give rise to significant portions of deferred tax assets and liabilities are presented below:

	2001	2000
	(in thousands)	
Deferred tax assets:		
Federal net operating loss carryforwards	$ 743	$ 4,155
State net operating loss carryforwards	181	177
Accrued liabilities	2,438	2,457
Merchandise inventories	3,158	3,582
Alternative minimum tax carryforward	—	880
Capital loss (Musician.com)	1,120	—
Total gross deferred tax assets	7,640	11,251
Deferred tax liabilities		
Depreciation	3,858	6,774
Other	651	706
Total gross deferred liabilities:	4,509	7,480
Deferred tax assets, net of deferred tax liabilities	3,131	3,771
Less valuation allowance	(1,120)	—
Net deferred tax assets	$ 2,011	$ 3,771

In assessing the realizability of deferred tax assets, management considers whether it is more likely than not that some portion or all of the deferred tax assets will not be realized. The ultimate realization of deferred tax assets is dependent upon the generation of future taxable income during the periods in which those temporary differences become deductible. We consider scheduled reversal of deferred tax liabilities, projected future taxable income and tax planning strategies in making this assessment. Based upon the level of historical taxable income and projections of future taxable income over the periods which the deferred tax assets are deductible, management believes it is more likely than not that we will realize the benefits of these deductible differences. The amount of the deferred tax assets considered realizable, however, could be reduced in the near term if estimates of future taxable income during the carryforward periods are reduced.

For the year ended December 31, 2001, the deferred tax valuation allowance increased by $1,120,000 in connection with the write-down of the minority interest in the non-consolidated entity. Management believes it is more likely than not that the tax asset associated with the minority interest in the non-consolidated entity will not be realized because the related capital loss carryover may only be utilized to offset future capital gains.